SUBMISSION TO LTA'S PUBLIC CONSULTATION ON COE CATEGORISATION FOR CARS

COE Categories A and B: Evidence from the Bidding Record, 2010-2026

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Summary

The gap between the Category A and B premiums was wide for most of the period since May 2022 and narrowed to near zero in 2026.

- Category A cleared above Category B in 3 of the 10 bidding exercises from February to June 2026, consistent with paragraph 1.8 of the consultation paper, and in 21 of 397 exercises since January 2010.
- Premium gap: the median gap between the Category B and Category A premiums was $9,010 since January 2010 and $17,999 since May 2022 (16 and 18 per cent of Category A's premium). The consultation paper's example band steps are $7,500 and $15,000.
- Renewal-price (PQP) gap: in October 2026 the Prevailing Quota Premium (PQP), a three-month average of premiums used to price COE renewals, was $2,901 higher for Category B than for Category A (2.3 per cent of Category A's PQP). The median monthly difference since May 2022 was $19,254 (20 per cent).

1. Crossings of the Category A and B premiums (consultation question 1)

Paragraph 1.8 of the consultation paper states that "from Feb to Jun 2026, Category A price exceeded the Category B price on three occasions". The bidding record is consistent with this: Category A cleared above Category B in the second exercises of February, April and June 2026, and in none of the other 16 exercises held in 2026 up to the cut-off. Category A cleared above Category B in 21 of 397 exercises since January 2010 (in 2013, 2016-2018, 2020 and 2026), in 3 of 107 since May 2022, in 3 of the last 24, and not in the latest exercise (Figure 1, panel A). The largest margin was $16,599, in the first exercise of March 2013. Category A's eligibility criteria changed in 2014 and 2022 (para 1.6), so the composition of each category was not constant over the period.

2. The size of the gap between Categories A and B (consultation question 1)

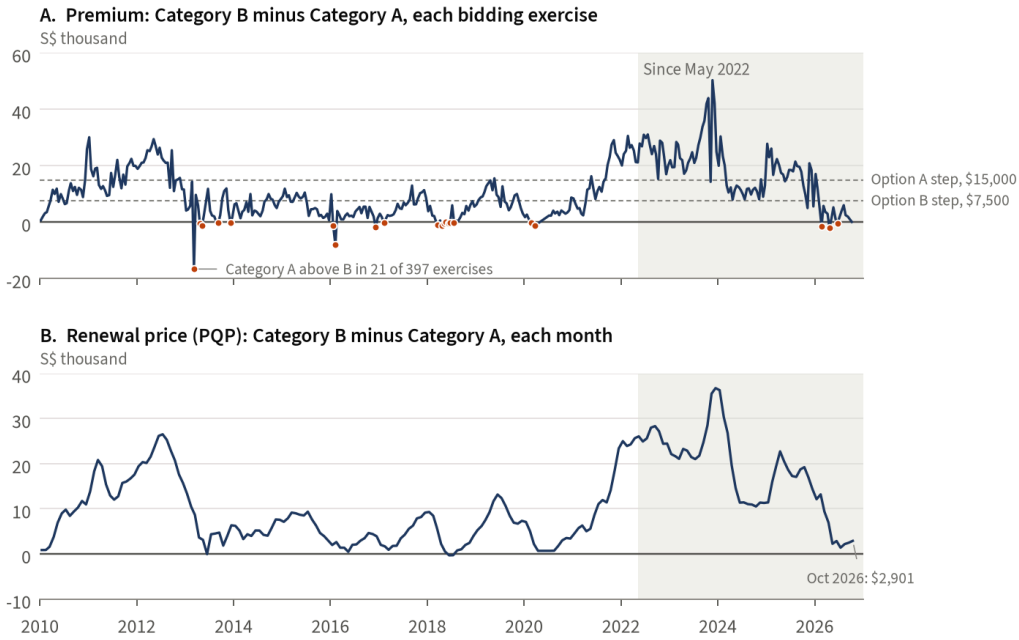
Paragraph 2.17 identifies "the historical price gaps between Category A and Category B" as "one possible reference point" for the feebate amounts. Table 1 summarises the gap over the four windows. Its median was $9,010 since January 2010, $17,999 since May 2022 and $3,784 over the last 12 months. As a share of Category A's premium, the median gap was 16 per cent since January 2010 and 18 per cent since May 2022; by calendar year it ranged from 2 per cent (2026) to 39 per cent (2012). Table 1 also shows how much the gap moved against the same exercise 6 and 12 months earlier. Since May 2022 the gap ranged from Category A $2,009 above B (April 2026) to Category B $50,335 above A (November 2023); in the latest exercise Category B was $99 above A.

Table 1. Category B premium minus Category A premium, per bidding exercise

	Since January 2010	Since May 2022	Last 12 months	Latest exercise
Exercises	397	107	24	1
Median gap	$9,010	$17,999	$3,784	$99
Median gap as a share of Category A's premium	16%	18%	3%	0.1%
Gap of $7,500 or more	225 (57%)	88 (82%)	5 (21%)	0
Gap of $15,000 or more	117 (29%)	64 (60%)	3 (13%)	0
Gap of $30,000 or more	11 (3%)	9 (8%)	0 (0%)	0
Median absolute change in the gap over 6 / 12 months	$5,453 / $6,603	$7,001 / $9,512	$7,929 / $15,228	$2,901 / $12,796

Notes: Windows as defined in Data and method; the latest exercise is October 2026, exercise 1. The change in the gap compares each exercise with the same exercise 6 or 12 months earlier. $7,500 and $15,000 are the steps between adjacent bands in the consultation paper's Options B and A; under both options the lowest and highest bands differ by $30,000 (paras 2.18(a)-(b)). Nominal dollars.

Figure 1. Category B minus Category A, January 2010 to October 2026



Notes: Panel A shows each bidding exercise; orange markers denote exercises in which Category A cleared above Category B. Dashed lines mark the band steps in the consultation paper's examples (para 2.18). Panel B shows the monthly PQP. Shading marks the period since May 2022 (window 2). Nominal dollars.
Sources: LTA via data.gov.sg; SingStat table M651121; LTA, M11 COE Results 2025-2026; author's calculations.

3. Renewal prices (consultation question 1)

Paragraph 2.19 states that owners of Category A and B cars "already pay broadly similar PQPs when renewing". The median monthly difference between the two PQPs was $8,668 (15 per cent of Category A's PQP) since January 2010, $19,254 (20 per cent) since May 2022 and $4,930 (4 per cent) over the last 12 months, when it ranged from $1,390 to $16,941. In October 2026 the PQP was $128,715 for Category A and $131,616 for Category B, a difference of $2,901, or 2.3 per cent of Category A's PQP (Figure 1, panel B). Category A's PQP was at or above Category B's in three months, June 2013, June 2018 and July 2018, and in none since May 2022.

4. Quota shares and Category E (consultation question 2)

Category E, the open category that can register any vehicle except motorcycles (para 1.3), received 15 per cent of the combined Category A, B and E quota since January 2010 and 11 per cent since May 2022. Category A received 57 and 59 per cent of the combined Category A and B quota. Category E cleared at or above both Categories A and B in 274 of 397 exercises since January 2010 and 74 of 107 since May 2022, and below Category B in 116 and 33; its median premium was $623 and $888 above Category B's.

Scope

The figures describe clearing prices and quotas. A premium is the price that cleared one category's quota in one exercise; it is not a measure of vehicle value, and it does not indicate what prices would be in a merged pool. The data do not show renewal volumes, or which vehicles were registered with Category E certificates (para 2.22). This note takes no view on the proposals.

Data and method

- **Windows:** (1) January 2010, exercise 1, to October 2026, exercise 1; (2) since May 2022, exercise 1, when Category A's power threshold for electric cars rose from 97kW to 110kW (LTA news release, 14 April 2022); (3) the last 12 months, 24 exercises; (4) the latest exercise, or for the PQP the latest month. PQP windows cover the months from the same dates. Windows were set by the start of the record and the 2022 rule change, not by the results; the 2014 change falls inside window 1 (section 1).
- **Bidding results:** LTA via data.gov.sg (dataset d_69b3380ad7e51aff3a7dcc84eba52b8a), retrieved 11 October 2026.
- **PQP:** SingStat table M651121 via data.gov.sg (dataset d_22094bf608253d36c0c63b52d852dd6e) and LTA, M11 COE Results 2025-2026.
- **Cross-checks:** the bidding file matched an earlier copy in all 1,965 overlapping rows; its Category A and B premiums matched SingStat in all 394 exercises SingStat covers; the PQP, recomputed as a three-month average of premiums, matched all 392 published values to within $1. Two documented corrections to 2010 values were applied.
- **Reproduction:** every figure in this note is produced by lta-ab/10_facts.py and checked against a number manifest.